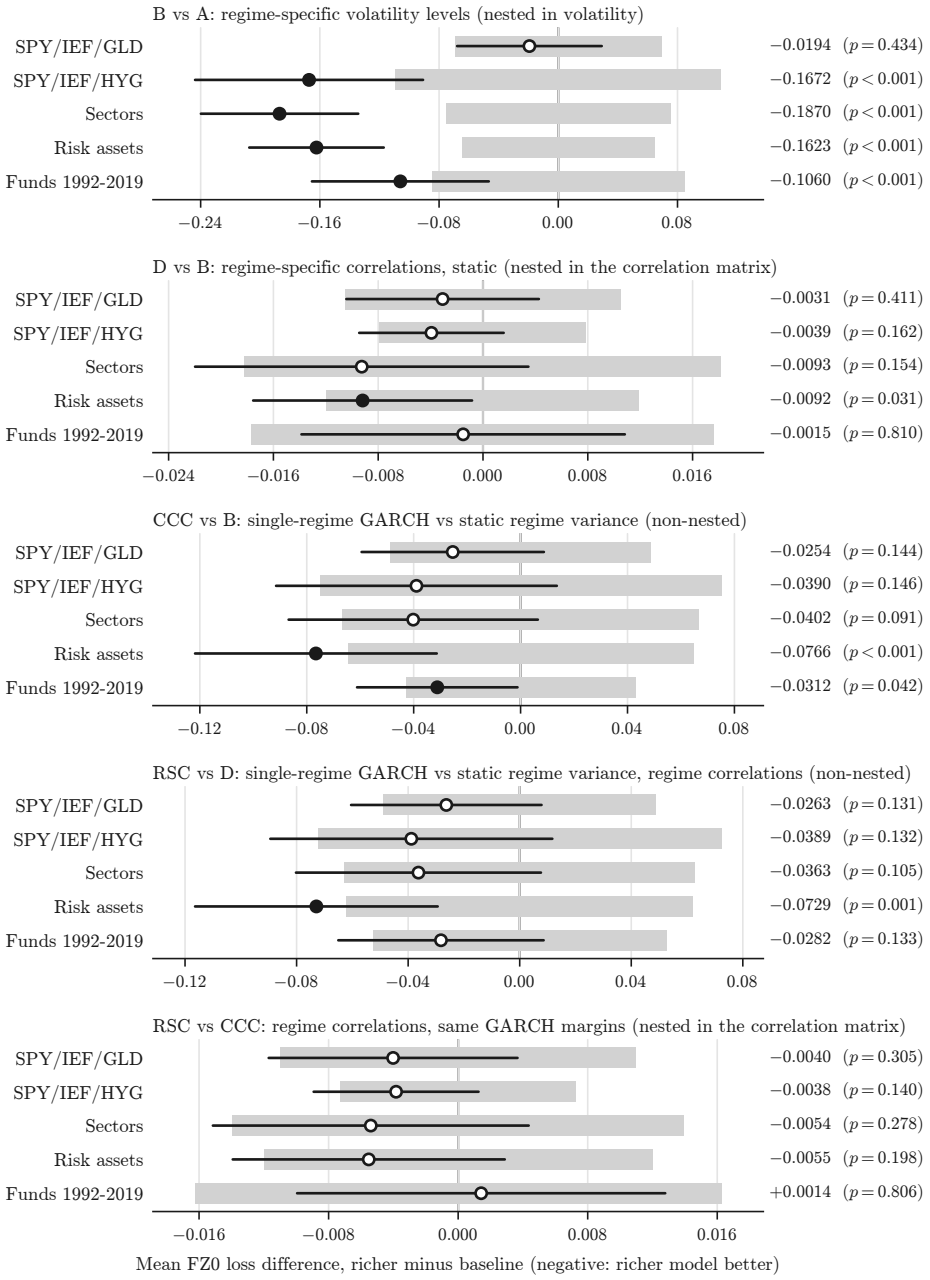
B vs A: regime-specific volatility levels (nested in volatility)
SPY/IEF/GLD
SPY/IEF/HYG
Sectors
Risk assets
Funds 1992-2019
−0.0194 (p = 0.434)
−0.1672 (p < 0.001)
−0.1870 (p < 0.001)
−0.1623 (p < 0.001)
−0.1060 (p < 0.001)
−0.24
−0.16
−0.08
0.00
0.08
D vs B: regime-specific correlations, static (nested in the correlation matrix)
SPY/IEF/GLD
SPY/IEF/HYG
Sectors
Risk assets
Funds 1992-2019
−0.0031 (p = 0.411)
−0.0039 (p = 0.162)
−0.0093 (p = 0.154)
−0.0092 (p = 0.031)
−0.0015 (p = 0.810)
−0.024
−0.016
−0.008
0.000
0.008
0.016
CCC vs B: single-regime GARCH vs static regime variance (non-nested)
SPY/IEF/GLD
SPY/IEF/HYG
Sectors
Risk assets
Funds 1992-2019
−0.0254 (p = 0.144)
−0.0390 (p = 0.146)
−0.0402 (p = 0.091)
−0.0766 (p < 0.001)
−0.0312 (p = 0.042)
−0.12
−0.08
−0.04
0.00
0.04
0.08
RSC vs D: single-regime GARCH vs static regime variance, regime correlations (non-nested)
SPY/IEF/GLD
SPY/IEF/HYG
Sectors
Risk assets
Funds 1992-2019
−0.0263 (p = 0.131)
−0.0389 (p = 0.132)
−0.0363 (p = 0.105)
−0.0729 (p = 0.001)
−0.0282 (p = 0.133)
−0.12
−0.08
−0.04
0.00
0.04
0.08
RSC vs CCC: regime correlations, same GARCH margins (nested in the correlation matrix)
SPY/IEF/GLD
SPY/IEF/HYG
Sectors
Risk assets
Funds 1992-2019
−0.0040 (p = 0.305)
−0.0038 (p = 0.140)
−0.0054 (p = 0.278)
−0.0055 (p = 0.198)
+0.0014 (p = 0.806)
−0.016
−0.008
0.000
0.008
0.016
Mean FZ0 loss difference, richer minus baseline (negative: richer model better)